

Loan & EMI Standard Operating Procedures (SOPs)

Slice Small Finance Bank

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Contents

1	Introduction	4
1.1	Objectives of the SOPs	4
2	Personal Loan Application Process (Expanded)	5
2.1	Pre-Application Counseling	5
2.2	Document Verification Process	6
2.2.1	Key Steps in Document Verification	6
2.2.2	Acceptable KYC Documents	6
2.2.3	Income Proof Documents	6
2.2.4	Verification Checklist	7
2.2.5	Actions on Discrepancies	7
2.3	Credit Scoring & Risk Assessment	7
2.3.1	Automated Credit Scoring Models	7
2.3.2	Manual Underwriting for Borderline Cases	7
2.3.3	Key Factors in Credit and Risk Assessment	8
2.3.4	Credit Decision Workflow	8
2.3.5	Documentation and Record Keeping	8
2.4	Loan Approval & Sanction	9
2.4.1	Approval Authority Matrix	9
2.4.2	Conditional Approvals	9
2.4.3	Sanction Letter	9
2.4.4	Sanction Letter Format (Sample)	10
2.4.5	Record Keeping and Compliance	10
2.5	Loan Agreement	10
2.5.1	Key Clauses in the Loan Agreement	10
2.5.2	Customer Acknowledgment and Signatures	11
2.5.3	Record Management	11
2.6	Loan Disbursement	12
2.6.1	Pre-Disbursement Compliance Checks	12
2.6.2	Mode of Disbursement	12
2.6.3	Customer Notification	12
2.6.4	Disbursement Checklist	13
3	EMI Rescheduling / Waiver Policy	13
3.1	Types of EMI Modifications	13

3.1.1	Moratorium	13
3.1.2	Tenure Extension	13
3.1.3	EMI Reduction	14
3.1.4	Partial EMI Waiver	14
3.2	Eligibility Criteria	14
3.2.1	Assessment Process	15
3.3	Application & Approval Workflow	15
3.3.1	Step 1: Submission of Request	15
3.3.2	Step 2: Document Collection and Preliminary Verification	15
3.3.3	Step 3: Credit and Risk Team Review	16
3.3.4	Step 4: Decision and Communication	16
3.3.5	Step 5: Implementation of Approved Modifications	16
3.3.6	Step 6: Post-Implementation Monitoring	17
3.4	Interest & Charges During Rescheduling	17
3.4.1	Interest Accrual Policy	17
3.4.2	Processing Fees and Charges	17
3.4.3	Regulatory Compliance	18
3.5	Monitoring Post-Rescheduling	18
3.5.1	Customer Follow-Up and Engagement	18
3.5.2	Early Warning Systems (EWS)	18
3.5.3	Performance Tracking and Reporting	19
3.5.4	Continuous Improvement	19
4	Foreclosure Procedure	19
4.1	Pre-Foreclosure Counseling	19
4.1.1	Customer Counseling	19
4.1.2	Foreclosure Statement	20
4.2	Settlement & Closure	20
4.2.1	Full and Final Payment	20
4.2.2	Issuance of Closure Documents	21
4.2.3	Credit Bureau Reporting	21
4.2.4	System and Document Archiving	21
4.3	Handling Partial Foreclosure	22
4.3.1	Eligibility and Acceptance	22
4.3.2	Payment and Allocation	22
4.3.3	Recalculation of Loan Terms	22
4.3.4	Amendment to Loan Agreement	23
4.3.5	Charges and Fees (if applicable)	23
5	Loan Disbursement and EMI Collection Process	23
5.1	Disbursement Checks	23
5.1.1	Loan Account Setup Validation	24
5.1.2	Sanction vs. Disbursement Reconciliation	24
5.1.3	Compliance and Documentation Review	24
5.1.4	Customer Notification	24
5.2	EMI Collection	25
5.2.1	EMI Communication and Customer Awareness	25
5.2.2	Modes of EMI Payment	25

6	Loan Monitoring and Recovery	26
6.1	Regular Monitoring	26
6.2	Recovery Process	27
7	Regulatory Compliance	29
8	Record Keeping and Documentation	30
9	Customer Communication Guidelines	31
10	Roles and Responsibilities	31

1 Introduction

This document outlines the **Standard Operating Procedures (SOPs)** related to the processing of loans and management of Equated Monthly Installments (EMIs) within the organization. The objectives of these SOPs are carefully crafted to ensure operational excellence, minimize risks, and provide a seamless customer experience while strictly adhering to regulatory requirements.

1.1 Objectives of the SOPs

- **To Standardize Loan Processing and EMI Management:**

The SOPs serve as a comprehensive framework that defines each step of the loan lifecycle—from application and approval to disbursement and repayment. By standardizing processes, the organization ensures consistency across all branches and teams, reducing ambiguity and improving efficiency. This consistency also facilitates training of personnel and simplifies audit and compliance processes.

- **To Minimize Operational Risks and Defaults:**

Operational risks in loan processing can arise due to human error, fraud, or non-compliance. These SOPs implement checks and balances, including verification protocols, credit risk assessments, and monitoring mechanisms, to minimize such risks. Furthermore, by establishing clear guidelines for handling defaults and late payments, the organization can reduce financial losses and maintain a healthy loan portfolio.

- **To Enhance Customer Service Experience:**

A transparent and well-structured loan process enhances customer trust and satisfaction. These SOPs incorporate best practices for communication, timely updates, and support mechanisms such as EMI rescheduling options and foreclosure procedures. This focus on customer-centricity helps build long-term relationships and improves the organization's reputation.

- **To Ensure Regulatory Compliance:**

Compliance with financial regulations and statutory requirements is paramount. These SOPs embed the latest guidelines issued by regulatory authorities such as the Reserve Bank of India (RBI) and other governing bodies. By following these procedures, the organization mitigates legal risks and avoids penalties, ensuring sustainable operations.

2 Personal Loan Application Process (Expanded)

The personal loan application process is designed to provide a seamless, transparent, and customer-friendly experience while ensuring thorough verification and risk management. It is divided into several critical steps starting with pre-application counseling.

2.1 Pre-Application Counseling

Pre-application counseling is an essential first step where the customer is fully informed about the loan product and the associated terms. This ensures that the customer makes an informed decision and understands their obligations.

- **Educate Customer About Loan Features:**

Provide detailed information on the various features of the personal loan, including:

- Interest rates (fixed or floating) and how they affect the EMI.
- Available tenure options and their impact on the total interest payable.
- Processing fees, documentation charges, prepayment penalties, and any other applicable fees.
- Conditions under which the loan may be recalled or foreclosure terms.

- **Explain Consequences of Default:**

Make the customer aware of the implications of missed EMIs or loan default, including:

- Penalty charges and late fees.
- Impact on credit score and future borrowing ability.
- Legal actions that the lender may take in case of prolonged default.

- **Provide Loan Calculator Tool for EMI Estimation:**

Offer access to a loan calculator (online or branch-based) to help customers estimate their monthly repayments based on:

- Desired loan amount.
- Chosen tenure.
- Applicable interest rate.

This empowers customers to choose loan parameters that best fit their repayment capacity.

- **Answer Customer Queries:**

Encourage customers to ask questions and clarify doubts about the loan product, application process, documentation, and repayment schedule.

- **Document Counseling Session:**

Record the counseling details and obtain customer acknowledgment as proof of informed consent before proceeding to the application phase.

2.2 Document Verification Process

The document verification process is a critical step to validate the authenticity and accuracy of all documents submitted by the applicant. It helps in mitigating fraud risk and ensures compliance with regulatory standards.

2.2.1 Key Steps in Document Verification

1. **KYC Document Verification:**

Verify the customer's identity and address proof documents against the original copies physically or via secure electronic means. Acceptable KYC documents typically include government-issued IDs.

2. **Income Proof Validation:**

Confirm the applicant's income by reviewing salary slips, bank statements, and employment confirmation letters. Cross-verify the bank account statements for salary credits and consistency.

3. **Cross-Check for Authenticity and Consistency:**

All documents should be cross-verified for consistency in name spellings, dates, and other details. Any discrepancies must be flagged and clarified before proceeding.

4. **Additional Document Checks:**

Verify other supporting documents such as address proof, credit bureau reports, and employment letters.

2.2.2 Acceptable KYC Documents

Table 1: List of Acceptable KYC Documents

Document Type	Examples
Identity Proof	Passport, Voter ID, PAN Card, Driving License
Address Proof	Utility bills (Electricity, Water), Ration Card, Passport, Lease Agreement
Photograph	Recent passport-sized photographs
Other	Aadhaar Card (as per local regulatory acceptance)

2.2.3 Income Proof Documents

Table 2: Examples of Income Proof Documents

Document Type	Details
Salary Slips	Last 3 months salary slips
Bank Statements	Last 6 months bank statements showing salary credits
Income Tax Returns (ITR)	Latest ITR filings (for self-employed applicants)
Employment Certificate	Letter from employer confirming employment and salary

Table 3: Document Verification Checklist

Check Item	Status	Remarks
KYC documents verified against originals	--- Yes / No	
Income proof matches bank statements	--- Yes / No	
Employment verified by HR	--- Yes / No	
Credit bureau report reviewed	--- Yes / No	
Discrepancies in documents flagged	--- Yes / No	Specify if any
Documents digitally scanned and stored	--- Yes / No	

2.2.4 Verification Checklist

2.2.5 Actions on Discrepancies

- Any inconsistency or suspected fraud detected during verification must be escalated immediately to the Risk and Compliance team.
- The loan processing will be put on hold until satisfactory clarifications or additional documents are provided.
- In case of forgery, legal action may be initiated as per company policy.

2.3 Credit Scoring & Risk Assessment

Credit scoring and risk assessment are vital steps in the loan approval process, designed to evaluate the applicant's creditworthiness and likelihood of timely repayment. This process combines automated tools with manual judgment to ensure accurate risk profiling.

2.3.1 Automated Credit Scoring Models

- The organization employs **automated credit scoring systems** that analyze various data points such as credit bureau reports, repayment history, outstanding debts, and income patterns.
- These models generate a credit score reflecting the risk level of the applicant. Scores above a defined threshold usually qualify for automatic approval.
- Automated scoring reduces processing time, increases objectivity, and minimizes human bias.

2.3.2 Manual Underwriting for Borderline Cases

- Applications with scores near the threshold or with unusual data patterns are referred for **manual underwriting**.
- Underwriters conduct an in-depth review, considering additional factors such as employment stability, debt-to-income ratio, and past banking relationships.
- Manual review allows for nuanced decision-making, mitigating false negatives or positives from automated systems.

2.3.3 Key Factors in Credit and Risk Assessment

The following table summarizes the primary factors considered during credit scoring and risk assessment:

Table 4: Credit Scoring & Risk Assessment Factors

Factor	Description
Credit Bureau Score	Numerical score obtained from recognized credit bureaus representing creditworthiness based on past borrowing and repayment behavior.
Income Stability	Assessment of steady income flow, employment duration, and type of employment (salaried, self-employed, contractual).
Existing Debts	Total outstanding loans, credit card balances, and other liabilities affecting repayment capacity.
Repayment History	Track record of timely repayment of past loans and credit facilities. Any history of defaults, late payments, or restructuring is considered.
Debt-to-Income Ratio (DTI)	Ratio of monthly debt obligations to monthly income, indicating financial burden.
Banking Relationship	Length and quality of relationship with the bank, including savings and transaction patterns.
Collateral (if applicable)	Value and liquidity of collateral offered against the loan.

2.3.4 Credit Decision Workflow

1. **Run automated credit scoring** using integrated credit bureau APIs and internal data.
2. **Evaluate score against cut-off thresholds:**
 - Scores $>$ threshold: proceed with automated approval.
 - Scores near threshold or flagged for anomalies: refer to manual underwriting.
 - Scores below threshold: reject or request additional information.
3. **Manual underwriting:** assess additional qualitative factors and validate applicant information.
4. **Final approval/rejection** based on combined automated and manual assessment.

2.3.5 Documentation and Record Keeping

- Maintain records of automated credit reports, manual underwriting notes, and final decision rationale.
- Ensure audit trail is available for regulatory compliance and internal review.

Note: The credit scoring model parameters and cut-off scores must be periodically reviewed and updated in alignment with evolving risk policies and market conditions.

2.4 Loan Approval & Sanction

The loan approval and sanction phase formalizes the decision to grant the loan based on the applicant's creditworthiness, risk assessment, and organizational policies. This step ensures accountability and clear communication of loan terms.

2.4.1 Approval Authority Matrix

Approval authority is delegated based on the loan amount and the applicant's risk profile to ensure appropriate oversight. The matrix below defines approval limits and levels:

Table 5: Loan Approval Authority Matrix

Loan Amount Range	Risk Profile	Approval Authority
Up to \$10,000	Low to Medium Risk	Branch Manager
\$10,001 – \$50,000	Low Risk	Regional Credit Head
\$10,001 – \$50,000	Medium to High Risk	Regional Credit Head + Risk Committee
Above \$50,000	All Risk Profiles	Senior Management / Credit Committee

2.4.2 Conditional Approvals

- Conditional approvals may be granted subject to additional safeguards such as:
 - Submission of additional collateral.
 - Inclusion of guarantors/co-applicants.
 - Higher interest rates or fees to mitigate risk.
- These conditions must be explicitly documented and agreed upon by the applicant.
- Failure to meet conditions within specified timelines will result in withdrawal of approval.

2.4.3 Sanction Letter

- Upon approval, a formal **Sanction Letter** is issued to the applicant, containing:
 - Approved loan amount.
 - Interest rate and repayment tenure.
 - EMI schedule and due dates.
 - Fees, charges, and any penalties.
 - Conditions for disbursement, collateral, or guarantors.
 - Legal disclaimers and borrower obligations.
- The sanction letter serves as a legally binding contract once signed by both parties.
- Copies of the sanction letter must be maintained in loan records for audit and compliance.

2.4.4 Sanction Letter Format (Sample)

[Your Organization Letterhead]

Date: [DD/MM/YYYY]

To,

[Applicant Name]

[Address]

Subject: Loan Sanction Letter

Dear [Applicant Name],

We are pleased to inform you that your application for a personal loan of [Approved Amount] has been approved.

- Interest Rate: [X] % per annum
- Loan Tenure: [Y] months
- EMI Amount: [Z]
- Disbursement Date: [Date]
- Conditions: [List any specific conditions]

Please review the terms carefully and sign the acceptance copy enclosed.

Thank you for choosing [Organization Name].

Sincerely,

[Authorized Signatory]

[Designation]

2.4.5 Record Keeping and Compliance

- All sanction letters and related correspondence must be archived electronically and physically.
- Approval records must be available for periodic audit and regulatory inspections.

2.5 Loan Agreement

The loan agreement is a legally binding contract between the lender and the borrower, detailing the rights and responsibilities of both parties. It safeguards the interests of the organization while ensuring transparency and clarity for the customer.

2.5.1 Key Clauses in the Loan Agreement

The loan agreement must comprehensively cover the following essential clauses:

- **Repayment Terms:**
 - Schedule of EMIs, including due dates and installment amounts.

- Mode of payment and account details for remittance.
- Prepayment options and related penalties or benefits.
- **Default and Penalties:**
 - Definition of default, including missed or late payments.
 - Penalty charges applicable for delayed payments.
 - Actions the lender may take in case of default (e.g., legal proceedings, credit reporting).
- **Foreclosure Terms:**
 - Conditions under which the borrower may pre-close or foreclose the loan.
 - Foreclosure charges, if any.
 - Procedure for obtaining a foreclosure statement and settlement.
- **Data Privacy and Consent:**
 - Consent for use of personal data as per applicable data protection laws.
 - Disclosure of information to credit bureaus, legal authorities, or third-party service providers as required.
- **Dispute Resolution:**
 - Mechanisms for resolving disputes, such as mediation, arbitration, or legal recourse.
 - Jurisdiction and governing law applicable to the agreement.

2.5.2 Customer Acknowledgment and Signatures

- The borrower must be provided with a copy of the loan agreement well before signing to review all terms.
- The agreement must be signed by the borrower (and co-borrowers or guarantors, if applicable) in the presence of authorized personnel.
- Signatures of authorized representatives of the lender must also be included.
- A witness signature may be required as per organizational or legal requirements.
- Confirmation of identity and signature authentication should be recorded.

2.5.3 Record Management

- Signed loan agreements must be scanned and stored securely in electronic format.
- Physical copies should be archived in designated loan files.
- Agreements must be retained as per statutory retention policies for future reference and audits.

2.6 Loan Disbursement

Loan disbursement marks the final step in the loan approval cycle where the sanctioned amount is transferred to the borrower. This process must be executed with strict adherence to compliance and operational protocols.

2.6.1 Pre-Disbursement Compliance Checks

- Ensure all **compliance requirements** are fulfilled, including:
 - Completion and verification of signed loan agreement and sanction letter.
 - Receipt and verification of all necessary documents.
 - Confirmation that all stipulated conditions (such as collateral, guarantors) are met.
 - Verification of KYC and AML (Anti-Money Laundering) checks.
 - Approval from relevant authority as per the approval matrix.
- Disbursement should not proceed until all these checks are satisfactorily completed and documented.

2.6.2 Mode of Disbursement

- The loan amount may be disbursed through the following modes based on customer preference and organizational policy:
 - **Bank Transfer:** Direct electronic transfer to the customer's verified bank account using NEFT/RTGS/IMPS.
 - **Cheque Issuance:** Physical cheque issued to the customer, with proper acknowledgement.
 - **Direct Credit:** Crediting loan amount directly to salary or other accounts as applicable.
- The mode of disbursement must be documented in the loan file.

2.6.3 Customer Notification

- Immediately after disbursement, notify the customer via SMS, email, or phone call with details including:
 - Disbursed amount.
 - Date of disbursement.
 - Account credited or mode of disbursal.
 - EMI start date and schedule.
- Maintain records of communication for reference and audit purposes.

Table 6: Loan Disbursement Checklist

Check Item	Status	Remarks
Signed loan agreement verified	--- Yes / No	
Sanction letter completed and acknowledged	--- Yes / No	
Compliance and KYC checks completed	--- Yes / No	
Collateral/guarantor conditions met	--- Yes / No	
Approval for disbursement obtained	--- Yes / No	
Disbursement mode selected	--- Bank Transfer / Cheque / Direct Credit	
Customer notified of disbursement	--- Yes / No	

2.6.4 Disbursement Checklist

3 EMI Rescheduling / Waiver Policy

The EMI Rescheduling and Waiver Policy is established to support borrowers experiencing temporary financial challenges. The policy aims to provide flexible repayment options that help reduce defaults while maintaining a healthy loan portfolio and complying with regulatory requirements.

3.1 Types of EMI Modifications

This section describes the various types of modifications available for EMI rescheduling and waiver:

3.1.1 Moratorium

Moratorium refers to the temporary suspension of EMI payments for a specified period. During the moratorium:

- Borrowers are not required to pay EMIs for the agreed duration.
- Interest may continue to accrue on the outstanding principal, depending on loan terms.
- The loan tenure may be extended by the moratorium period.
- This option provides short-term relief without impacting the loan status adversely if used as per guidelines.

3.1.2 Tenure Extension

Tenure extension involves increasing the overall loan repayment period, thereby reducing the monthly EMI burden. Key points include:

- Extending the tenure results in lower monthly payments but may increase total interest payable.
- This option is suitable for borrowers who need to reduce EMI amounts due to long-term financial strain.
- The maximum tenure extension allowed is governed by internal policies.

3.1.3 EMI Reduction

EMI reduction adjusts the monthly installment amount to a lower value by recalculating the repayment schedule. Characteristics are:

- Can be implemented with or without tenure extension.
- May involve a balloon payment or lump sum at the end of the tenure.
- Helps borrowers who cannot meet original EMI amounts but can afford smaller installments.

3.1.4 Partial EMI Waiver

Partial EMI waiver allows temporary reduction or waiver of part of the EMI for a limited time. Important aspects include:

- Waiver applies only for a specific number of EMIs or months.
- Interest on waived amounts may continue to accrue depending on policy.
- Typically offered under special circumstances or discretionary approval.
- Helps borrowers manage short-term liquidity crises without full suspension of payments.

3.2 Eligibility Criteria

Eligibility for EMI rescheduling or waiver is governed by the following criteria to ensure that relief is provided to genuine cases of financial distress while maintaining portfolio quality:

- **No Recent Rescheduling Requests:** Customers should not have availed any EMI rescheduling or waiver in the last **6 months**. This prevents frequent restructuring and encourages timely repayments.
- **Documentary Proof of Hardship:** Applicants must submit valid and verifiable documentation demonstrating financial hardship. Examples include but are not limited to:
 - Medical bills or hospitalization certificates.
 - Termination or layoff letters.
 - Salary reduction statements.
 - Proof of business loss or closure.
 - Other relevant legal or financial documents supporting the claim.
- **Repayment History:** A generally good repayment history is preferred, indicating the borrower's commitment and ability to repay. However, exceptions can be made on a case-by-case basis after thorough assessment by the credit team.
- **Current Loan Status:** The loan account should not be classified as a Non-Performing Asset (NPA) at the time of application for rescheduling or waiver.
- **Other Factors:** Additional considerations such as the borrower's income stability, employment status, and outstanding loan amount may influence eligibility decisions.

3.2.1 Assessment Process

The eligibility assessment involves:

1. Initial screening by the loan servicing team to verify documentation completeness.
2. Financial analysis to understand the borrower's current repayment capacity.
3. Review by the credit risk team to ensure compliance with policy.
4. Final approval from the designated authority as per the internal approval matrix.

Only applications meeting all eligibility conditions shall proceed to the modification approval stage.

3.3 Application & Approval Workflow

This section outlines the detailed process and responsibilities for handling EMI rescheduling and waiver requests, ensuring timely, transparent, and compliant decision-making.

3.3.1 Step 1: Submission of Request

- Customers can submit their formal request for EMI rescheduling or waiver through the following channels:
 - **Online Portal:** Secure login to the lender's customer portal with upload functionality for supporting documents.
 - **Branch Visit:** Submission of physical application forms and documents at the nearest branch.
 - **Customer Service Call Center:** Initial inquiry and request logging, followed by guidance on document submission.
- The application must include all necessary documentation as per eligibility requirements.
- Customers receive an acknowledgement with a unique reference number for tracking.

3.3.2 Step 2: Document Collection and Preliminary Verification

- The front office or customer service team is responsible for:
 - Collecting the complete application and verifying the presence of all required documents.
 - Conducting a preliminary review to check for obvious inconsistencies or missing information.
 - Digitizing physical documents (if applicable) and uploading them into the loan management system.
 - Forwarding the verified application package to the credit and risk team within 1 business day of receipt.
- Applications missing critical documents are returned to the customer with a request for completion.

3.3.3 Step 3: Credit and Risk Team Review

- Upon receipt, the credit and risk team undertakes a comprehensive assessment involving:
 - Validation of submitted documents for authenticity and relevance.
 - Assessment of borrower's current financial position and repayment capacity.
 - Review of the loan account status, repayment history, and outstanding dues.
 - Evaluation of proposed EMI modification impact on overall loan profitability and risk.
- The review is conducted within a defined turnaround time of **3 to 5 working days**.
- Additional clarifications may be sought from the borrower if needed.

3.3.4 Step 4: Decision and Communication

- The credit and risk team prepares a recommendation which is escalated to the appropriate approval authority as per the internal matrix.
- The approval authority reviews the recommendation and either approves or rejects the request.
- The decision is documented with clear reasons, especially in case of rejection.
- Communication of the decision to the borrower includes:
 - Approval letter outlining modified terms or
 - Rejection letter with explanation and possible alternatives.
- Communication channels include email, SMS, or physical letter as preferred by the customer.
- All communications must be recorded and archived for audit purposes.

3.3.5 Step 5: Implementation of Approved Modifications

- Upon approval, the loan servicing team updates the loan management system with:
 - Revised repayment schedule including new EMI amounts, tenure, and interest calculations.
 - Adjustments to interest accrual or other financial parameters as required.
- Revised loan documents or addendums are generated and sent to the borrower for acknowledgment and signature if required.
- System-generated alerts and reports are configured to monitor compliance with the new repayment schedule.

3.3.6 Step 6: Post-Implementation Monitoring

- The loan account is monitored closely for adherence to the new EMI schedule.
- Early warnings are generated for any missed payments or anomalies.
- Periodic reviews may be conducted to assess if further modifications or recovery actions are needed.

3.4 Interest & Charges During Rescheduling

This section outlines the treatment of interest accrual and any applicable charges during the period of EMI rescheduling or waiver, ensuring transparency and adherence to regulatory and internal policies.

3.4.1 Interest Accrual Policy

- **Accrual on Outstanding Principal:** Interest continues to accrue on the outstanding principal amount during the entire period of EMI rescheduling, unless explicitly waived by the lending institution.
- **Impact on Loan Tenure and EMI:**
 - Accrued interest may be capitalized (added to the principal) at the end of the moratorium or rescheduling period, resulting in an increased principal balance.
 - Borrowers should be informed of the effect of capitalization on the total loan cost and EMI amounts.
 - Restructuring options like tenure extension or EMI reduction typically incorporate the accrued interest into the revised repayment schedule.
- **Waiver of Interest:**
 - Interest waiver, if offered, must be explicitly stated in the approval letter.
 - Waivers are generally granted under exceptional circumstances and subject to senior management approval.
 - The policy must clearly define the extent and duration of any interest waiver.

3.4.2 Processing Fees and Charges

- **Rescheduling Processing Fee:** A non-refundable processing fee may be levied on the borrower for EMI rescheduling requests. Typical charges include:
 - A percentage of the outstanding principal (e.g., 1%).
 - A flat administrative fee depending on the loan product and institution policy.
- **Fee Collection and Disclosure:**
 - Fees must be disclosed clearly to the borrower at the time of application.
 - The fee collection process should be documented, and receipts issued.

- Fees collected should be accounted for separately and reported in financial statements.

- **Other Charges:**

- Any additional charges such as legal fees, documentation charges, or penalties related to rescheduling must be transparently communicated.
- Waiver or reduction of fees can be considered on a discretionary basis for specific customer segments.

3.4.3 Regulatory Compliance

- The interest and charges policy must comply with all applicable banking and financial regulations.
- Regular audits should be conducted to ensure fees and interest calculations are correctly applied.
- Borrowers should be provided with clear statements showing the impact of rescheduling on interest and charges.

3.5 Monitoring Post-Rescheduling

Effective monitoring after EMI rescheduling is critical to ensure that borrowers adhere to the revised repayment schedule and to promptly identify any signs of potential default. This section describes the post-rescheduling monitoring framework and key follow-up actions.

3.5.1 Customer Follow-Up and Engagement

- **Proactive Communication:** The loan servicing team must initiate special follow-up calls or messages to borrowers immediately after rescheduling approval, reiterating the new repayment terms and schedule.
- **Regular Check-Ins:** Scheduled periodic check-ins (e.g., monthly or quarterly) via phone, SMS, or email to:
 - Confirm borrower’s ability to meet revised EMIs.
 - Address any concerns or difficulties in repayment.
 - Provide counseling or financial advice if required.
- **Customer Support Access:** Ensure borrowers have easy access to customer service for queries related to rescheduling terms or future requests.

3.5.2 Early Warning Systems (EWS)

- **Flagging Delays:** The loan management system should automatically flag accounts where revised EMIs are delayed or missed.
- **Triggers for Alerts:**

- *First missed payment* triggers an immediate alert to the servicing team.
- *Multiple missed payments* escalate the account to collections or recovery teams.
- **Risk Scoring Updates:** Update borrower’s risk profile dynamically based on repayment behavior post-rescheduling.
- **Follow-up Actions:** Depending on severity, actions may include reminder calls, written notices, or initiating recovery proceedings.

3.5.3 Performance Tracking and Reporting

- **Periodic Reports:** Generate regular reports on rescheduled loans including:
 - Number and value of loans rescheduled.
 - Compliance rates with new EMI schedules.
 - Delinquency and default rates post-rescheduling.
- **Management Review:** Senior management should review these reports periodically to evaluate the effectiveness of the rescheduling policy and make improvements.
- **Regulatory Reporting:** Ensure that all rescheduled loans and their repayment performance are reported to regulators as per statutory requirements.

3.5.4 Continuous Improvement

- Feedback from monitoring outcomes should be used to refine eligibility criteria, approval processes, and communication strategies.
- Training programs for frontline and credit teams to handle rescheduled accounts effectively.

4 Foreclosure Procedure

The foreclosure procedure outlines the steps and responsibilities involved when a borrower chooses to close the loan account before the scheduled tenure, ensuring transparency and compliance with regulatory norms.

4.1 Pre-Foreclosure Counseling

Before processing a foreclosure request, it is essential to counsel the customer regarding the benefits and implications of foreclosure, as well as provide a detailed statement of the outstanding dues.

4.1.1 Customer Counseling

- Explain the **benefits** of foreclosure, including:
 - Savings on future interest payments.
 - Early release from debt obligations.

- Improvement in credit score if managed timely.
- Discuss the **implications**, such as:
 - Foreclosure charges or penalties, if applicable.
 - Impact on liquidity due to lump-sum payment requirement.
 - Possible loss of any benefits or discounts tied to the original tenure.
- Provide information about alternative options such as part prepayment or EMI reduction, if suitable.

4.1.2 Foreclosure Statement

A comprehensive foreclosure statement must be prepared and shared with the borrower, containing the following details:

Table 7: Components of Foreclosure Statement

Component	Description	Calculation Basis
Outstanding Principal	Remaining loan principal balance	As per amortization schedule
Accrued Interest	Interest accrued till foreclosure date	Calculated on outstanding principal
Prepayment Charges	Charges applicable on early repayment	As per loan agreement
Processing Fees	Any administrative fees for foreclosure	Fixed or percentage-based
Other Charges	Legal, documentation, or penalty fees	As applicable
Total Payable Amount	Sum of all above components	To be paid by borrower

- The statement must be prepared promptly, typically within **2 working days** of receiving the foreclosure request.
- The customer should receive a clear breakup of each component to understand the total payoff amount.
- The statement validity period (e.g., 7 days) should be communicated to avoid confusion on changes in outstanding dues.

4.2 Settlement & Closure

Once the borrower agrees to the foreclosure amount and completes the payment, the lender must follow a formal settlement and closure process to legally and procedurally terminate the loan account.

4.2.1 Full and Final Payment

- The foreclosure process is deemed complete only after the borrower has made full payment of the total foreclosure amount as per the final statement.
- The payment modes may include:

- NEFT/RTGS bank transfer
- Cheque/Demand Draft (subject to realization)
- UPI/Online payment through customer portal
- Payment must be acknowledged with a digital or physical receipt issued to the borrower.
- No dues must remain on the account, including any pending charges, interest, or taxes.

4.2.2 Issuance of Closure Documents

- Upon full settlement, the lender is obligated to issue key closure documents to the borrower:
 - **Loan Closure Letter:** An official letter stating that the loan has been fully repaid and closed.
 - **No Objection Certificate (NOC):** A legal document declaring that the lender has no outstanding claims against the borrower in relation to the loan.
- These documents must be:
 - Issued within **7 working days** of receipt of full payment.
 - Delivered via registered email or courier to the borrower’s registered address.
 - Signed and stamped by authorized personnel.

4.2.3 Credit Bureau Reporting

- The closure of the loan account must be reported to all applicable credit bureaus (e.g., CIBIL, Equifax, Experian, CRIF High Mark) as per regulatory norms.
- **Reporting Timeline:**
 - Update must be completed within **30 calendar days** of loan closure.
 - Status must be updated as “Closed” or “Fully Paid” with a zero outstanding balance.
- Borrowers must be informed that the credit bureau update may take up to a month to reflect on their credit report.
- Any discrepancies identified by the borrower post-closure must be investigated and rectified within a defined service timeline.

4.2.4 System and Document Archiving

- The loan management system must reflect:
 - Final payment date
 - Account status as “Closed”

- Issuance of NOC and closure letter
- All related documents (foreclosure statement, payment receipts, closure letters) should be archived digitally for audit and future reference.
- Any lien on collateral (if applicable) must be released officially and documented.

4.3 Handling Partial Foreclosure

Partial foreclosure allows the borrower to make a lump sum payment toward the principal balance without closing the entire loan. This results in a reduced outstanding principal, potentially lowering either the EMI or the loan tenure. Proper handling ensures accurate recalculations and legal compliance.

4.3.1 Eligibility and Acceptance

- Partial foreclosure is permitted as per the loan product terms and conditions.
- Borrower must notify the institution in writing or via an approved digital channel before making a partial payment.
- Minimum and maximum partial foreclosure limits (e.g., at least 3 EMIs or 10% of principal) may apply depending on internal policy.
- A maximum number of partial prepayments per year may be defined.

4.3.2 Payment and Allocation

- The lump sum payment made by the customer is directly allocated to reduce the outstanding principal amount.
- No portion of the partial foreclosure amount should be applied toward future interest or upcoming EMIs.
- The payment must be acknowledged with a receipt and the revised principal should be updated in the Loan Management System (LMS).

4.3.3 Recalculation of Loan Terms

Following the reduction in principal, the loan servicing team must recalculate the repayment structure using either of the following two options, based on customer preference:

1. Option A: Maintain EMI, Reduce Tenure

- The EMI amount remains the same.
- The loan tenure is shortened, reducing total interest payable.
- Preferred by borrowers wishing to be debt-free sooner.

2. Option B: Reduce EMI, Maintain Tenure

- The EMI amount is reduced while keeping the original tenure intact.
- Suitable for borrowers seeking lower monthly cash outflow.

Table 8: Partial Foreclosure Impact Scenarios

Scenario	Effect on EMI	Effect on Tenure
Maintain EMI	Unchanged	Shortened
Maintain Tenure	Reduced	Unchanged
Custom Adjustment	Slightly Reduced	Slightly Reduced

4.3.4 Amendment to Loan Agreement

- An addendum or amendment letter must be issued to the borrower reflecting the changes in:
 - Principal amount
 - EMI and/or tenure
 - Updated repayment schedule
- Borrower’s acceptance must be obtained via:
 - Signed physical form or
 - Digital consent through the customer portal or mobile app
- All documents must be stored in the LMS and customer communication logs.

4.3.5 Charges and Fees (if applicable)

- Some loan products may carry a small administrative or prepayment charge for partial foreclosure.
- Charges should be clearly communicated in advance and reflected in the payment receipt.
- No charges should be levied on floating rate personal loans to individuals, in compliance with RBI regulations.

5 Loan Disbursement and EMI Collection Process

This section outlines the procedures for the accurate and compliant disbursement of loan amounts, followed by standardized EMI (Equated Monthly Installment) collection mechanisms to ensure smooth repayment flow and minimal delinquency risk.

5.1 Disbursement Checks

Before disbursing any loan amount to the borrower, a comprehensive set of checks must be completed to ensure regulatory compliance, internal policy adherence, and operational integrity.

5.1.1 Loan Account Setup Validation

- Ensure that the borrower's loan account has been successfully created in the Loan Management System (LMS).
- Verify that the account reflects accurate details, including:
 - Sanctioned loan amount
 - Interest rate (fixed or floating)
 - Tenure and repayment start date
 - Borrower personal and banking details
- Each loan must be tagged with a unique loan account number (LAN) and internally mapped to the appropriate product category and branch code.

5.1.2 Sanction vs. Disbursement Reconciliation

- Verify that the amount scheduled for disbursement does not exceed the sanctioned loan amount.
- In case of partial disbursement (e.g., for loans in tranches), ensure:
 - Previous disbursements and pending balance are recorded correctly.
 - Tranche release follows the sanctioned schedule or agreed-upon milestones.
- Any deviation must be approved by the relevant credit authority and documented.

5.1.3 Compliance and Documentation Review

- Disbursement must be held back if any of the following compliance items are pending:
 - Signed loan agreement and KYC documents
 - Acceptance of sanction terms and conditions
 - Mandates (e.g., NACH, ECS, PDCs) for EMI deduction
 - Verification of collateral or guarantor (if applicable)
- A checklist system should be followed and approved by operations or credit control before proceeding to disbursement.

5.1.4 Customer Notification

- Once all checks are completed, and disbursement is executed:
 - Notify the customer via SMS, email, or app notification.
 - Provide a breakdown of the disbursed amount, including any deductions such as processing fees, insurance, or documentation charges.
 - Share the final repayment schedule with start date, EMI amount, and due dates.

Table 9: Disbursement Compliance Checklist

Item	Status (/)
Loan Account Setup	
Sanctioned vs. Disbursed Amount Reconciled	
Loan Agreement Signed	
KYC Documents Verified	
NACH / PDC / Auto-Debit Mandate Collected	
Insurance (if applicable) Processed	
Collateral / Guarantor Verified	
Customer Notified with Disbursal Summary	

5.2 EMI Collection

Timely and efficient EMI collection is critical for loan portfolio health and maintaining borrower discipline. This section outlines the collection strategies, modes, communication procedures, and compliance measures associated with EMI recovery.

5.2.1 EMI Communication and Customer Awareness

- Upon disbursement, borrowers must be provided with a complete **repayment schedule** including:
 - EMI amount
 - Due dates
 - Number of installments
 - Total payable amount
- The **first EMI date** should be clearly mentioned in the sanction letter and/or repayment schedule.
- Borrowers must be informed of their EMI due date via multiple channels:
 - Printed copies at time of agreement signing
 - Email or app-based digital loan summary
 - SMS or WhatsApp reminders
- Any change in EMI date or amount (e.g., post rescheduling) must be re-communicated and acknowledged by the borrower.

5.2.2 Modes of EMI Payment

To ensure convenience and reduce default risk, multiple payment channels are offered. Borrowers can select their preferred payment mode at the time of agreement execution.

Table 10: Available EMI Payment Modes

Payment Mode		Details
ECS/NACH Mandate		Auto-debit from borrower's bank account on due date. Requires pre-signed mandate form. Most preferred for salaried and business borrowers.
Standing Instruction (SI)		EMI deducted directly from borrower's savings account with the lender.
UPI/Net Banking		Borrower can make EMI payment via UPI apps, internet banking, or digital wallets before the due date.
Post-Dated (PDCs)	Cheques	Cheques deposited in advance by borrower for each EMI. Requires monthly tracking and deposit.
Cash Payment (Limited Use)	(Limited)	Accepted at designated branches only for special cases. Not encouraged due to tracking and compliance challenges.

6 Loan Monitoring and Recovery

Effective loan monitoring and recovery processes are essential to minimize non-performing assets (NPAs), safeguard institutional liquidity, and maintain a healthy loan portfolio. This section outlines procedures for regular loan performance tracking, customer segmentation based on risk, and the identification of early warning signals.

6.1 Regular Monitoring

- **Loan Repayment Tracking:**

- Use centralized dashboards integrated with the Loan Management System (LMS) to track repayment status in real-time.
- Monitor timely EMI payments, partial payments, and overdue accounts systematically.

- **Customer Segmentation by Risk Profile:**

- Segment borrowers into risk categories such as Low, Medium, and High risk based on:
 - * Credit bureau scores
 - * Past repayment behavior
 - * Income stability and employment status
 - * Outstanding debt burden
- Use risk segmentation to prioritize monitoring efforts and customize recovery strategies.

- **Early Warning Signals (EWS):**

- Identify signals indicating potential default risk to enable proactive intervention:
 - * Multiple EMI misses (e.g., 2 or more consecutive missed EMIs)
 - * Decline in credit score reported by credit bureaus
 - * Sudden drop in income or employment status (from customer updates or external data)
 - * Frequent requests for EMI rescheduling or waivers
 - Trigger alerts for the recovery team to initiate customer contact and remedial measures.
- **Reporting and Review:**
- Generate periodic loan portfolio health reports (weekly/monthly) highlighting:
 - * Delinquency rates by tenure buckets (30, 60, 90+ days overdue)
 - * Trends in EWS cases
 - * Recovery success rates and outstanding NPAs
 - Conduct management reviews to evaluate recovery strategies and modify policies as necessary.

6.2 Recovery Process

Loan recovery is a critical function aimed at minimizing losses from overdue loans while maintaining positive customer relationships wherever possible. The recovery process involves a structured, multi-stage approach to maximize collection effectiveness, comply with legal frameworks, and preserve institutional reputation.

1. **Step 1: Soft Collection Calls and Notices (Day 1 to Day 60 after EMI due date)**
 - **Objective:** Early engagement to remind and encourage timely payment, prevent loan delinquency from escalating.
 - **Activities:**
 - Automated and manual phone calls to borrower starting from 1 day after EMI due date.
 - Send SMS, email, or app notifications highlighting missed EMI and urging immediate payment.
 - Dispatch formal collection notice/letter by post or digital means after 15 days overdue.
 - Document every customer interaction and responses in the loan management system.
 - Offer counseling on repayment options, such as EMI rescheduling or partial payment plans, if borrower reports hardship.
 - **Escalation:** If borrower responds positively and pays or arranges payment plan, close collection case. If no response or payment, escalate to next step after 60 days overdue.

2. Step 2: Legal Notice and Warning (Day 61 to Day 90 after EMI due date)

- **Objective:** Formally notify borrower of legal consequences if loan remains unpaid; attempt to recover without court intervention.
- **Activities:**
 - Issue a legal notice drafted by the institution’s legal team or appointed lawyers citing default, outstanding amount, and demand for payment within specified period (usually 15-30 days).
 - Send the legal notice via registered post or official email to ensure proof of delivery.
 - Continue telephonic follow-ups to urge compliance.
 - Update loan account to reflect legal notice stage and flag for legal team’s attention.
 - Assess if borrower requests restructuring or settlement offers, and evaluate feasibility.
- **Escalation:** If no satisfactory response or payment within notice period, prepare for legal recovery action.

3. Step 3: Initiate Recovery through Legal Action and Asset Seizure (After Day 90 overdue)

- **Objective:** Recover dues via judicial processes or collateral liquidation to minimize loss.
- **Activities:**
 - File a suit for recovery in the appropriate civil court or Debt Recovery Tribunal (DRT) depending on loan type and amount.
 - Engage legal counsel for representation and follow-up on court proceedings.
 - Issue demand notices and summons as per legal process.
 - For secured loans, initiate asset seizure or auction procedures per the loan agreement terms and applicable laws:
 - * Valuation of collateral by certified valuers.
 - * Public auction of repossessed assets with transparent bidding.
 - * Apply proceeds from sale against outstanding loan balance.
 - Maintain clear records of all legal and recovery expenses incurred.
 - Communicate status regularly with management and auditors.
- **Escalation:** Continue pursuing recovery or settlement offers until full recovery or write-off decision.

4. Step 4: Loan Write-Off and Reporting

- **Objective:** Account for loans deemed non-recoverable in accordance with accounting standards and regulatory guidelines.
- **Activities:**

- Define clear criteria and timelines for considering a loan as non-performing and eligible for write-off.
- Obtain necessary approvals from senior management or board committee before write-off.
- Document all attempts made for recovery prior to write-off decision.
- Adjust accounting records to reflect loan write-off, ensuring compliance with accounting and tax standards.
- Report write-offs in financial statements and to regulatory authorities as required.
- Retain right to pursue legal or recovery actions post write-off if feasible.

7 Regulatory Compliance

Ensuring adherence to regulatory frameworks and legal requirements is paramount in loan processing and management. This section outlines key compliance areas to safeguard the institution against legal risks and maintain customer trust.

- **Adherence to RBI Guidelines:**

- Comply with Reserve Bank of India (RBI) regulations related to personal loans, including permissible interest rates, processing fees, and transparency in loan terms.
- Follow RBI circulars regarding foreclosure charges, prepayment penalties, and fair recovery practices.
- Maintain documentation and reporting standards as specified by RBI for audit and supervisory reviews.

- **Data Privacy Laws:**

- Protect customer data in accordance with applicable data protection laws such as the General Data Protection Regulation (GDPR) for EU customers or relevant local privacy laws.
- Implement robust data security measures including encryption, access control, and regular audits.
- Obtain explicit customer consent for data collection, usage, and sharing, and provide clear privacy notices.

- **Fair Practices Code for Lending:**

- Ensure transparent communication of loan terms and conditions without hidden charges.
- Provide customers with timely information about interest rates, fees, and repayment schedules.
- Address customer grievances promptly through defined escalation mechanisms.
- Avoid coercive recovery methods; maintain ethical conduct during loan recovery.

- **Anti-Money Laundering (AML) and Know Your Customer (KYC) Compliance:**

- Perform thorough KYC verification for all loan applicants to verify identity, address, and source of income.
- Monitor loan transactions for suspicious activity and report to appropriate authorities as required.
- Train employees regularly on AML regulations and internal control procedures.
- Maintain updated records and audit trails to support compliance reviews.

8 Record Keeping and Documentation

Maintaining accurate and secure records is essential for audit purposes, regulatory compliance, and effective loan management. This section outlines the requirements and best practices for documentation related to loans and associated customer interactions.

- **Document Maintenance:**

- Preserve both physical and electronic copies of all loan-related documents, including:
 - * Loan application forms
 - * KYC documents
 - * Credit assessment reports
 - * Sanction letters and loan agreements
 - * Disbursement receipts
 - * EMI payment records
 - * Communication logs related to rescheduling, waiver requests, and foreclosure
- Ensure that electronic documents are backed up regularly with appropriate security protocols.

- **Archival Period:**

- Archive all loan files for a minimum period of 7 years after the loan closure date.
- Follow institutional policies and regulatory requirements regarding document retention and destruction.
- Ensure archived files are retrievable in a timely manner for audits or customer service.

- **Communication Logs:**

- Maintain detailed logs of all customer communications related to EMI rescheduling, waiver approvals, foreclosure discussions, and recovery efforts.
- Include date, time, mode of communication, summary of discussion, and follow-up actions.
- Use CRM systems or loan management software to ensure consistency and auditability.

9 Customer Communication Guidelines

Effective communication with customers is vital for building trust, ensuring clarity, and reducing disputes. This section outlines the principles and standards for all interactions related to loans, EMI management, rescheduling, and foreclosure.

- **Use Clear and Jargon-Free Language:**
 - Communicate all loan terms, conditions, and processes in simple, easy-to-understand language.
 - Avoid technical jargon or legalese that may confuse customers.
 - Use examples or visual aids where possible to explain complex concepts such as interest calculation or EMI schedules.
- **Transparent Communication on Fees and Penalties:**
 - Clearly disclose all applicable fees, interest rates, prepayment penalties, and other charges at the time of loan application and throughout the loan tenure.
 - Provide detailed breakup of charges in sanction letters, monthly statements, and foreclosure statements.
 - Inform customers promptly of any changes to terms or charges.
- **Proactive Customer Support and Options:**
 - Offer financial counseling and loan restructuring options proactively when customers face repayment difficulties.
 - Educate customers about available facilities such as EMI rescheduling, partial waivers, and moratorium periods.
 - Encourage early communication from customers in case of hardship to facilitate timely assistance.
- **Record Maintenance of Communications:**
 - Document all customer communications including calls, emails, messages, and face-to-face interactions.
 - Maintain communication logs in centralized systems to ensure accountability and easy retrieval.
 - Use documented communication as reference for dispute resolution or compliance audits.

10 Roles and Responsibilities

This section defines the roles and responsibilities of various teams and individuals involved in loan monitoring, EMI collection, rescheduling, foreclosure, and recovery. Clear accountability ensures smooth operations, timely interventions, and regulatory compliance.

Table 11: Roles and Responsibilities Matrix

Role / Department	Responsibilities
Loan Processing Team	• Verify customer documents and KYC. • Perform credit scoring and risk assessment. • Prepare and issue sanction letters and agreements. • Coordinate with disbursement team for timely loan release.
Disbursement Team	• Validate completion of all compliance checks before disbursal. • Execute loan disbursement via approved modes. • Notify customers immediately post disbursal. • Maintain accurate disbursement records.
Credit and Risk Team	• Review creditworthiness and approve/reject loan applications. • Monitor loan portfolio risk profiles. • Identify early warning signals and trigger recovery actions.
Customer Service / Front Office	• Facilitate loan application and document collection. • Communicate EMI schedules, reminders, and rescheduling options. • Address customer queries and coordinate with internal teams.
Recovery / Collections Team	• Conduct soft collection calls and send payment reminders. • Issue legal notices and coordinate legal recovery processes. • Manage collateral seizure and asset auction processes. • Maintain documentation of recovery efforts and outcomes.